FREE GUIDE 03 · EXIT POWER

How Many Months of Choice Do You Have?

Make a first estimate of household runway and identify the alternatives that make it useful.

A large salary and room to choose are different things.

Earning Power is what the market will pay for what you can do and prove. Exit Power includes how long your household can maintain its chosen life without your income, and which acceptable alternatives remain. Start by making the household picture visible.

Start here

Gather recent bank statements, recurring bills and annual commitments. Use actual household spending. Keep the numbers on your own copy. You do not need to share them to use this guide.

01 Reachable money

02 Monthly spending

03 Months of runway

04 Real alternatives

Set aside 25 minutes. Work through the examples, then print page 4 for your own situation.

SEE IT IN PRACTICE

From a familiar response to a useful one.

Fictional examples for practice. Adapt the reasoning to the facts of your situation.

A FICTIONAL HOUSEHOLD

Before: We have ₹30 lakh in savings, so we should be fine.

After: Of ₹30 lakh, ₹6 lakh is reserved for a goal the household will not touch. Reachable money available for runway is ₹24 lakh after assumed selling costs and tax. Spending is ₹1.2 lakh a month, including annual bills divided by twelve. If all income stops: ₹24 lakh ÷ ₹1.2 lakh = 20 months.

The same money cannot fund both a protected goal and the runway. The example holds spending fixed and assumes no investment returns or inflation.

IF ONE INCOME CONTINUES

Before: Two salaries mean twice the security.

After: Assume ₹60,000 of dependable take-home income continues each month. The monthly gap becomes ₹1.2 lakh minus ₹60,000 = ₹60,000. ₹24 lakh ÷ ₹60,000 = 40 months. If both incomes stop, the original 20-month estimate applies.

Continuing income changes the gap. Test whether both incomes depend on the same employer, sector or economic conditions.

A DIFFERENT SPENDING SCENARIO

Before: We could cut everything if we had to.

After: If the household explicitly agrees a temporary ₹1 lakh monthly budget, all-income-stops runway becomes 24 months. Keep that separate from the 20-month estimate for the current life. Record exactly what would change.

An imagined emergency budget is not the same as maintaining the life your household has chosen.

THE METHOD

Make the assumptions visible.

A. Reachable, available money

Count money you could access in a week or two and would actually use, after costs and taxes. Exclude your home, unvested shares, locked retirement money and protected goals. Market values can fall; record the valuation date.

B. Actual monthly spending

Include housing, EMIs, school, household costs, transport, support for parents and other commitments. Divide annual bills by twelve. Check statements rather than relying on memory.

C. Continuing net income

For a one-income-stops scenario, count only income you reasonably expect to continue after tax and costs. Do not count a hoped-for bonus, future job or untested business revenue as dependable income.

D. Calculate and stress-test

All income stops: A ÷ B. One income stops: A ÷ (B − C), only if B is greater than C. If C covers B, there is no current monthly gap in this simplified model; that does not mean unlimited security. Recheck under less favorable assumptions.

Keep this to hand

This is a first estimate, not a retirement plan or a recommendation to resign, invest or sell assets. It leaves out future inflation, returns and unexpected costs. Revisit the numbers and use qualified advice for consequential financial decisions.

YOUR PRINTABLE WORKSHEET

Your household. Your numbers.

Use one currency throughout. Agree what is available and what is protected with the people whose lives depend on it.

01 Date / currency / A: reachable money after protected goals and costs

02 B: monthly spending, including annual costs ÷ 12

03 All income stops: A ÷ B = ___ months

04 C: dependable continuing income / gap B − C / A ÷ gap

05 What if both incomes stop, costs rise or an asset falls in value?

06 Two acceptable alternatives, and what would make each real

TAKE IT INTO YOUR WEEK

One useful next move.

Before you use it

Read your completed sheet once. Check each statement below.

- [ ] I have excluded locked, unvested and separately protected money.
- [ ] I used household spending, including annual commitments.
- [ ] I have separated current-life and lower-spending scenarios.
- [ ] I can name an acceptable next move and the work it requires.

Try it once

Choose one small action for the next month: reconcile the spending figure, clarify a commitment, test whether an alternative role exists, or speak with someone who understands a path you are considering. Write down who will do it and when you will revisit the picture.

Afterward, ask yourself

What could I realistically choose this year? Which assumption most changes that answer?

Explore the choices behind the number.

The Exit Power Check helps you reflect on financial visibility, flexibility and alternatives. The book develops how Earning Power and Exit Power work together.

Take the Exit Power Check →

sayantannandi.com/tests/exit-power

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